APPLY THE TEST: PRICE STABILITY, EMPLOYMENT & GROWTH

Has the current policy mix worked?

A PRICE STABILITY

POLICY TESTED:
Tighter monetary policy

- Cash rate 4.35% (May 2026)
- CPI 4.6% y/y (Mar 2026)
- Trimmed mean 3.3%
- RBA target 2–3%

HOW IT WORKS (THE MECHANISM)

% → Higher rates → Less borrowing/spending → Lower demand → Less inflation pressure

VERDICT:
PARTIAL SUCCESS
Inflation is being restrained but is still above target.

B FULL EMPLOYMENT

POLICY TESTED:
The overall policy mix + labour market support

- Unemployment 4.3% (Mar 2026)
- Underemployment 5.9%
- Participation 66.8%

LABOUR MARKET SNAPSHOT

WEAKER — TIGHTER

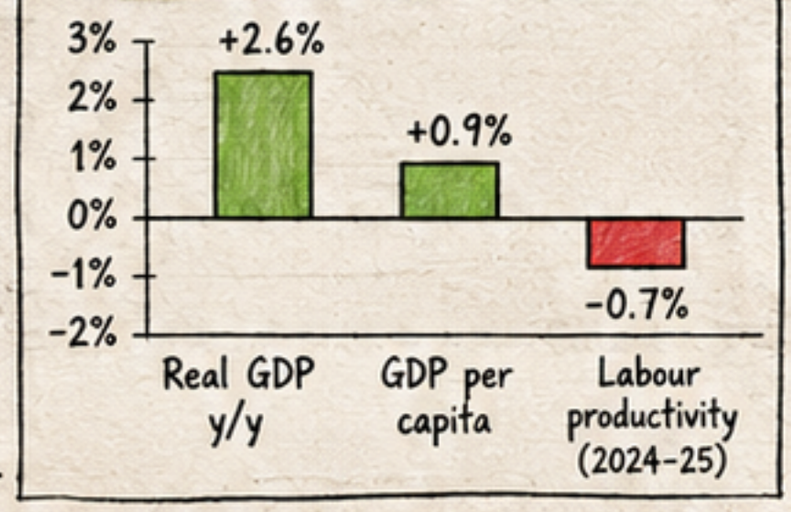
slack | close to full employment | overheated

VERDICT:
BROADLY SUCCESSFUL
The labour market remains resilient and close to full employment.

C ECONOMIC GROWTH + QUALITY OF LIFE

- Real GDP +2.6% y/y (Dec 2025)
- GDP per capita +0.9%
- Labour productivity −0.7% in 2024–25

GROWTH & PRODUCTIVITY



VERDICT:
MIXED
Output is growing, but weak productivity still limits stronger living-standard gains.

TRADE-OFF TO WATCH

The challenge is reducing inflation without causing a big rise in unemployment or choking off growth.

LOWER INFLATION | STEADY EMPLOYMENT | SUSTAINABLE GROWTH

BOTTOM LINE

Right now, current policy looks **STRONGEST** on **EMPLOYMENT**, **LESS SUCCESSFUL** on **INFLATION**, and **MIXED** on **GROWTH/PRODUCTIVITY**.

- Employment: strongest
- Inflation: less successful
- Growth/Productivity: mixed